policies. Shroff, while being the first to condemn such practices, felt that the erring parties should be punished rather than tarring the entire private sector with the same brush.

According to the Committee, the socio-economic climate tended to discourage and discredit private investment. The private sector was merely tolerated rather than welcomed as an instrument of development. For the private sector to make a significant contribution, it was essential that government change its attitude towards the private sector, and the private sector for its part change its way of doing business. 'There is in the country a widespread feeling that despite the importance given to private investment in the Plan, private enterprise is in practice tolerated rather than accepted as an instrument of development.'[4] The constant threat of nationalization reinforced the feeling that the private sector was incapable of fulfilling its social responsibilities. The Committee noted that planning in a mixed economy necessarily involves growing interaction between the public and private sectors and that the policies directed towards furthering the programmes of one sector could, and often did, exercise a restrictive influence on the other. 'In such circumstances adjustments will need to be made in both the attitudes and policies of each sector with a view to creating an atmosphere in which both may flourish. The Committee is of the opinion that availability of finance is only one aspect of this climate, though an important one, and cannot be tackled in isolation.'[5]

This attitude was also apparent in the legislative and other measures taken at the time. The threat of nationalization implicit in the Industrial Policy Resolution of 1948 and the Industries (Development and Regulation) Act dampened the enthusiasm of both domestic and international investors, and the Committee demanded immunity from nationalization for large industry. It also pointed out that the process of nationalization that had begun made no distinction between exploitative or inefficient companies and those that were well-run. It cited the example of the Airlines which had been nationalized by the Central Government and transport companies which had been taken over by State Governments.

Despite government's assurance that nationalization would be resorted to in only very compelling circumstances, reality proved to be different. Nehruvian socialism held centre stage and the public sector was, by occupying the commanding heights of the economy, expected to usher in a